

FEDERAL MARITIME COMMISSION

HAPAG-LLOYD, A.G. AND HAPAG-LLOYD (AMERICA) LLC.

POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(c)

DOCKET NO. 21-09

ORDER OF INVESTIGATION AND HEARING

Section 41102(c) of Title 46 of the United States Code provides that “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

On April 28, 2020, the Commission issued an interpretive rule providing guidance as to what it may consider in assessing whether a detention practice is unjust or unreasonable.¹ This guidance applies to “practices and regulations relating to demurrage and detention for containerized cargo. For purposes of this rule, the terms demurrage and detention encompass any charges, including “per diem,” assessed by ocean common carriers, marine terminal operators, or ocean transportation intermediaries (“regulated entities”) related to the use of marine terminal space (e.g., land) or shipping containers, not including freight charges.”² In terms of reasonableness, 46 C.F.R. § 545.5(c)(1) states “in assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage

¹ 46 C.F.R. § 545.5(c)(1); 85 FR 48850 (May 18, 2020), *also available at* https://www2.fmc.gov/readingroom/docs/19-05/19-05_fnl_rul_fr.pdf/

² 46 C.F.R. § 545.5(b).

and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” The Commission made clear that “the guidance on the incentive principle, demurrage and detention policies, and transparent terminology would apply in situations involving exports.”³

In the final rule, the Commission noted the well-established principle that under § 41102(c), a regulation or practice must be tailored to meet its intended purpose.⁴ Even if a practice has a valid purpose, if it goes beyond what is necessary to achieve that purpose, it may still be unreasonable.⁵ Section 10(d)(1) derives from section 17 of the 1916 Act, which was described by the Commission as requiring a practice to be “fit and appropriate to the end in view.”⁶ Courts have also included within the standard of reasonableness as “whether the charge levied is reasonably related to the service rendered.”⁷ This reasonableness requirement extends to carrier practices relating to demurrage and detention. These are fees imposed by carriers on shippers and others (such as truckers) for use of the carrier’s containers, or, in some instances, imposed by carriers on shippers and others for use of marine terminal land.⁸

Hapag-Lloyd, A.G. is a vessel-operating common carrier (VOCC) headquartered in Hamburg, Germany at:

Hapag-Lloyd, A.G.
Postfach 102626
Ballindamm 25

³ 85 Fed. Reg. at 29650.

⁴ Final Rule: Interpretive Rule on Demurrage and Detention under the Shipping Act, 85 Fed. Reg. 29638, 29651 (May 18, 2020) (citing *Distribution Servs. Ltd. v. Trans-Pac. Freight Conference of Japan and Its Member Lines*, 24 S.R.R. 714, 722 (FMC 1988)).

⁵ *Distribution Services, Ltd. V. Trans-Pacific Freight Conference of Japan and its Member Lines*, 1988 FMC LEXIS 52, at 19, (FMC 1988).

⁶ *Investigation of Free Time Practices, Port of San Diego*, 9 F.M.C. 524, 547 (FMC 1966).

⁷ *Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm'n*, 390 U.S. 261, 282 (1968).

⁸ Fact Finding Investigation No. 28 Order of Investigation at 2 (Mar. 5, 2018) https://www2.fmc.gov/readingroom/docs/FF%20No.%2028/ff-28_ord2.pdf; 46 C.F.R. 545.5(b).

2000 Hamburg 1
Germany

Hapag-Lloyd maintains offices in the U.S. at:

Hapag-Lloyd (America) LLC
5515 Spalding Drive
Peachtree Corners, GA 30092

It is a member of the THE Alliance and is the fourth largest VOCC for exports from the United States, with 11.8% of market share and over 788,000 TEUs, and the sixth largest VOCC for imports with 8% of market share and over 786,000 TEUs, in the first 9 months of 2021.⁹

The Commission has received information indicating that Hapag-Lloyd, A.G., and Hapag-Lloyd (America) LLC (collectively “Hapag-Lloyd”) may be in violation of 46 U.S.C. § 41102(c) with respect to charges relating to container returns.

Since the spring of 2020, marine terminals in Los Angeles and Long Beach (LALB) have experienced unprecedented congestion. This congestion has affected the entire supply chain, including shippers attempting to return empty containers to the port. To manage cargo velocity, terminals and VOCCs in LALB employ two systems. First, the VOCC specifies which terminals can accept its empty containers. The VOCC sends this notice to truckers and posts it in advance. Second, most terminals employ an appointments system, where the trucker must make an appointment online in advance. Thus, to successfully return a container within free time, a shipper or its trucker must first determine where the VOCC will accept the container, and then secure an appointment at that location.

Detention (sometimes called “per diem”) is a charge applied for use of the container once it leaves the port past free time¹⁰, which is the time a carrier must allow the shipper as a

⁹ According to Datamyne rankings, September 30, 2021.

¹⁰ Hapag-Lloyd Rules & Regulations, RURE-002, rule no. D03.01 “Free Time and Detention”.

“reasonable opportunity to retrieve its cargo.”¹¹ The purpose of this charge is twofold, to compensate the VOCC for the use of its equipment (the container) and incentivize its prompt return to port.¹²

However, due to the aforementioned congestion, on some days there are no return locations offered by the VOCC, or the locations offered by the VOCC have no available appointments with the terminal operator. In this scenario, the trucker is prevented from returning the container entirely. Under these circumstances, the incentive to return cannot be enhanced by detention charges, nor is the VOCC incurring lost opportunity costs due to an inability to handle the volume of empty containers it already has within the terminal. If the charges no longer relate to the intended purpose, they may amount to an unreasonable practice under these conditions.¹³

During the spring and summer of 2021, Hapag-Lloyd engaged in this conduct at least 11 times. A list of these containers is included as Attachment A, and charges invoiced ranged from \$160.00 to \$1,845.00 per container. For each of these containers, Hapag-Lloyd issued an invoice for detention charges. However, for multiple free days, and/or multiple days under detention, Hapag either offered no return locations, or appointments were unavailable for the subject containers. The invoiced party provided Hapag-Lloyd with screenshots verifying these restrictions and requested a waiver. Hapag-Lloyd denied the request to waive the charges. Its justification was that Hapag Lloyd was unable to waive the charges because it did not control the appointment system. This rationalization meets neither of the purposes of detention charges to

¹¹ *Investigation of Free Time Practices—Port of San Diego*, 9 F.M.C. 525 at 539 (FMC 1966).

¹² 84 FR at 48851-53; *Fact Finding Investigation No. 28 Final Report* at 12 (Dec. 3, 2018).

¹³ 46 C.F.R. § 545.5(c)(2)(ii)

incentivize its prompt return to the terminal, nor reflects the interpretive rule's guidance to charge detention only when it can serve that purpose.

In view of the above, the Commission has decided that an adjudicatory proceeding is required to determine whether Hapag is in violation of 46 U.S.C. § 41102(c) of the Shipping Act of 1984 by its practice of assessing detention charges when: either (a) Hapag Lloyd failed to provide an equipment return location, or (b) if Hapag Lloyd did provide an equipment return location, appointments were unavailable for equipment return during the allocated free time. Furthermore, upon such charges being disputed and evidence being produced to Hapag-Lloyd that no such appointments were available during free time, Hapag-Lloyd failed to waive detention. If so, this proceeding also shall determine whether civil penalties should be assessed and, if so, in what amount, and whether a cease-and-desist order should be issued.

NOW THEREFORE IT IS ORDERED that pursuant to 46 U.S.C. §§ 41102(c) and 41302(a), and 46 C.F.R. § 502.63, an investigation is hereby instituted to determine whether Hapag-Lloyd, A.G. and/or Hapag-Lloyd (America) LLC are violating or have violated section 41102(c) of the Act by failing to establish, observe, and enforce just and reasonable regulations and practices relating to its assessment of charges on containers when return locations with corresponding appointments were unavailable.

IT IS FURTHER ORDERED that the requirements of 46 C.F.R. § 502.63(d) be waived, under 46 C.F.R. § 502.10 for the expeditious conduct of business. This waiver is necessary to help alleviate the unprecedented stress being placed on the supply chain, including the significant role that unreasonable detention plays in congestion and freight fluidity.

IT IS FURTHER ORDERED that Hapag-Lloyd is designated as Respondent in this proceeding.

IT IS FURTHER ORDERED that the Commission's Bureau of Enforcement is designated a party to this proceeding.

IT IS FURTHER ORDERED that notice of this Order be published in the Federal Register, and a copy be served on each party of record.

IT IS FURTHER ORDERED that Respondent must file with the Commission an answer to the Order of Investigation and Hearing and serve a copy of the answer on the Bureau of Enforcement within 25 days after being served with the Order of Investigation and Hearing as per 46 C.F.R. § 502.63(c). Failure of a respondent to file an answer will be deemed to constitute a waiver of the respondent's right to appear and contest the allegations in the Order of Investigation and Hearing and to authorize the presiding officer to enter a decision on default as provided for in 46 C.F.R § 502.65. Well pleaded factual allegations in the Order of Investigation and Hearing not answered or addressed will be deemed to be admitted.

IT IS FURTHER ORDERED that this matter be assigned for hearing before an Administrative Law Judge of the Commission's Office of Administrative Law Judges at a date and place to be determined by the Administrative Law Judge in compliance with Rule 61 of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.61. This hearing shall include oral testimony and cross-examination in the discretion of the presiding Administrative Law Judge only after consideration has been given by the parties and the presiding Administrative Law Judge to the use of alternative forms of dispute resolution, and upon a proper showing that there are genuine issues of material fact that cannot be resolved on the basis of sworn statements, affidavits, depositions, or other documents or that the nature of the matters

in issue is such that an oral hearing and cross-examination are necessary for the development of an adequate record;

IT IS FURTHER ORDERED that if violations of the Act are found, this proceeding shall determine whether civil penalties should be assessed against Respondent and, if so, in what amount.

IT IS FURTHER ORDERED that if violations of the Act are found, this proceeding shall determine whether a cease-and-desist order should be issued against the Respondent.

IT IS FURTHER ORDERED that persons having an interest in participating in this proceeding may file petitions for leave to intervene in accordance the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.68.

IT IS FURTHER ORDERED that all further notices, orders, and/or decisions issued by or on behalf of the Commission in this proceeding, including notice of the time and place of hearing or prehearing conference, shall be served on each party of record;

IT IS FURTHER ORDERED that all documents submitted by any party of record in this proceeding shall be directed to the Secretary, Federal Maritime Commission, at Secretary@fmc.gov, in accordance with the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.113 and shall be served on each party of record.

IT IS FURTHER ORDERED that discovery in this proceeding is to be completed within 90 days service of a respondent's answer to the complaint or Order of Investigation and Hearing.

IT IS FURTHER ORDERED that in accordance with the Commission's Rules of Practice and Procedure, that the initial decision of the Administrative Law Judge shall be issued within 75 days after completion of discovery; and,

FINALLY, IT IS ORDERED that in accordance with the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.61, the final decision of the Commission shall be issued by 90 days from service of the Initial Decision.

By the Commission.

Rachel Dickon,
Secretary.

Order of Investigation and Hearing

ATTACHMENT A

Shipments at Issue

<u>No.</u>	<u>Container Number</u>	<u>Invoice No.</u>
1	GESU3644906	2119642180
2	TEMU1467361	2119704796
3	FFAU2104882	2119711233
4	FFAU2094681	2119721993
5	SEGU5670431	2119731378
6	HLBU1593348	2119739508
7	HLXU9003126	2119739508
8	HLBU8048860	2119741085
9	HLBU8039554	2119748477
10	HLBU8038687	2119748477
11	HAMU1302165	2119752845